

USDA Foreign Agricultural Service

GAIN Report

Global Agricultural Information Network

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Malaysia

Oilseeds and Products Update

June 2017

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Report Highlights:

The Government of Malaysia (GOM) decision not to extend the amnesty program for undocumented illegal foreign workers beyond July 1, 2017 saw the industry facing acute shortage of manual labor. In addition, the depreciation of Malaysian currency by as much as 30% made working in Malaysia less attractive as they earned less in Malaysian currency. No major weather anomaly is expected for the rest of the marketing year. As result, the 2016/17 production forecast is maintained at 19.5 million tons as Post anticipated the labor issue when previously forecasting the 2016/17 palm oil production.

Post:

Kuala Lumpur

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EXECUTIVE SUMMARY

Palm Oil Production, Supply, and Demand Table

Oil, Palm	2015/2016		2016/2017		2017/2018	
Market Begin Year	Oct 2015		Oct 2016		Oct 2017	
Malaysia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Planted	0	0	0	0	0	0
Area Harvested	4,800	4,800	4,900	4,900	0	5,200
Trees	0	0	0	0	0	0
Beginning Stocks	2,641	2,641	1,546	1,546	0	1,279
Production	17,,00	17,700	19,500	19,500	0	21,000
MY Imports	816	816	800	800	0	450
MY Imp. from U.S.	0	0	0	0	0	0
MY Imp. from EU	0	0	0	0	0	0
Total Supply	21,157	21,157	21,846	21,846	0	22,729
MY Exports	16,621	16,621	17,000	17,000	0	18,000
MY Exp. to EU	2,000	2,000	1,900	1,900	0	2,000
Industrial Dom. Cons.	2,290	2,290	2,400	2,400	0	2,450
Food Use Dom. Cons.	650	650	720	720	0	700
Feed Waste Dom. Cons.	50	50	50	50	0	40
Total Dom. Cons.	2,990	2,990	3,170	3,170	0	3,190
Ending Stocks	1,546	1,546	1,676	1,676	0	1,539
Total Distribution	21,157	21,157	21,846	21,846	0	22,729
(1,000 HA) ,(1,000 TREES) ,(1000 MT)						

Production

GOM's strict enforcement clamping down on foreign illegal workers by penalizing both employer and employee with harsh punishment saw many employers sending back their illegal workers to avoid punishment. The high cost of rehiring foreign workers (in which the cost are deducted from the worker's salary) and depreciation of Malaysian currency made Malaysia less attractive for returning foreign labor to work in Malaysia. It was estimated the palm oil industry employed 300,000 manual foreign workers of which, 30% are undocumented illegal foreign workers. With the end of Ramadan celebration on June 25, 2017, most undocumented Indonesian illegal workers who returned early for the occasion took the opportunity not to return. Thus June palm oil production suffered.

Although the palm trees recovering from tree stress from the El-Nino weather phenomenon and production is expected to increase, shortage of manual labor to harvest the fruits caused fruit left to rot on trees leading to a drop in collection of fresh fruit bunches (FFB) which lead to total palm oil production to drop.

GOM initial forecast of 21.5 million tons production for the calendar year 2017 has been revised to 19.5 million tons to take into account labor shortage issues. To overcome this, GOM approved recruitment of Bangladeshi workers to replace Indonesian workers. However, plantation companies are reluctant to employ Bangladeshi as they are unable to withstand the demanding nature of the jobs.

With high seasonal production forecasted in the upcoming quarters, production is expected to improve, and forecasted production of 19.5 million tons is within reach. Thus, Post does not expect any weather anomalies that will hamper production in the near future.

Production for 2017/18 is forecasted to increase to 21 million tons as trees fully recover from tree stress, and the industry is able to address labor issues. Total harvested area in 2017/18 is projected to increase to 5.2 million hectares, an area with palm trees that produces fruit at least once or twice a year. Fully matured hectare equivalent (MHE) area for 2017/18 is estimated at 2.74 million hectares; an area where plantation with palm trees that produces fruits at least 4 times a year.

May-June 2017

May June 2017

	Beginning Stocks	Production			Imp ort	Total Supply	Exp ort	Dome stic	Ending Stocks
		We st	Ea st	Tot al				DIS 3/	
	(IN 1000 METRIC TONS)								
2017									
May	1,600	865	789	1654	47	3,301	1,506	238	1,557
June	1,557	760	754	1514	46	3,117	1,379	211	1,527
Percentage Change		-12.1	-4.4	-8.4		-5.5	-8.4		-1.9

April-June 2013-17

	Beginning Stocks	Production			Imp ort	Total Supply	Exp ort	Domes tic	Ending Stocks
		We st	East	Tota l				DIS 3/	
	(IN 1000 METRIC TONS)								
Apr- June									
2017	1,554	2,445	2,271	4,,716	147	6,417	4,168	722	1,527
2016	1,886	2,147	2,051	4,198	81	6,165	3,587	804	1,774
2015	1,866	2,870	2,396	5,268	264	7,398	4,485	762	2,151
2014	1,688	2,510	2,272	4,782	105	6,575	4,146	772	1,657
2013	2,173	2,274	1,893	4,167	125	6,465	4,269	550	1,648

Price

June's monthly average delivery price was \$677, down from \$727 in May. The drop in price for June was attributed to a drop in exports to China. Exports of crude palm oil (CPO) to China dropped by as much as 39% from 113,200 tons in May to 68,556 tons in June. The reduction in price had widened the discount price between crude palm oil and soy oil by as much as \$150. This will further boost export demand for crude palm oil from July onwards.

In line with the drop in CPO price, the Refined/Bleached/Deodorized (RBD) Palm Oil FOB average price dropped to \$667.5/ton in June from \$681.5 in May.

Stocks

Stocks dropped from 1.55 million tons in May to 1.52 million tons at the end of June, partly due to lower production recorded in June. With expectations for high production over the next few months, stocks are forecast to increase further.

TRADE

2017/18 Outlook:

Crude palm oil (CPO) exports for marketing year (MY) 2017/18 are forecast at 18 million tons, a million ton more than MY 2016/17. The increase is based on improvement in demand from India and the Middle East.

2016/17 Forecast

Exports in June 2017 dropped by 8.4% from 1.50 million tons recorded in May to 1.38 million tons in June. Shipments to China dropped as much as 39% from 113,200 tons to 68,556 tons. Other major markets also recorded reductions, thereby contributing to overall reduction of export of 8.4%.

Comparing June 2016 with June 2017, exported recorded a 20.8% increase. Overall production for year 2015/16 was low due to El-Nino weather phenomenon. Duty export for June 2017 was 6.0% and for June 2016, 5.5%.

Exports market demand for MY 2016/17, are within the Post estimate of 17 million tons, a slight increase from 16.6 million tons recorded in MY 2015/16. Favorable weather and wide discount prices between crude palm oil price and soy oil will spurred crude palm oil export demand for the rest of the marketing year.

Imports

The import estimate remained the same, as Malaysian government (GOM) maintains import restrictions on CPO to reduce end stock at a manageable level.

CONSUMPTION

2017/18 Outlook

Palm oil consumption remained relatively stable with a slight increase of 20,000 tons, from 3.17 million tons in MY 2016/17. The increase is in line with population growth and marginal growth in biodiesel production for domestic consumption.

2016/17 Forecast

Post forecasts palm oil consumption for MY2016/17 at 3.17 million tons, as GOM was unable to proceed with the planned B10 biofuel mandate as originally planned. Even for MY 2017/18, due to budget constraint, GOM will not proceed to implement the B10 biofuel mandate and will only consider it once the price of petroleum is high, and end stocks of CPO are at unsustainable levels.

5 Major Export Markets for Malaysia Palm Oil March-June 2017 (in metric tons)

2017	March	April	May	June
China	103,561	137,334	113,200	68,556
India	171,463	160,878	273,699	238,198
EU	134,603	163,678	169,468	168,779
Pakistan	54,610	54,782	108,277	123,569
USA	42,233	51,434	38,660	48,021
Others	759,321	715,423	802,758	732,568
Total	1,265,791	1,283,529	1,506,056	1,379,691

5 Major Export Markets for Malaysia Palm Oil June 2014-17 (in metric tons)

June	2014	2015	2016	2017
China	271,680	243,932	100,659	68,556
India	229,066	435,833	169,188	238,198
EU	226,268	216,678	150,688	168,779
Pakistan	60,173	71,580	88,607	123,569
USA	82,714	44,331	30,282	48,021
Others	613,290	684,815	602,408	732,568
Total	1,483,191	1,697,169	1,141,832	1,379,691
Percentage Change		14.4	-32.7	20.8

Export duty rates for crude palm oil (CPO)

Month (2017)	Duty Rate
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August	6.5%
July	5.5%
June	6.0%
May	7.0%
April	7.5%
March	8.0%
February	7.5%
January	7.0%

PRICES

	Crude #1	RBD Palm Oil	RBD Olein	RBD Stearin
	US\$/MT	US\$/MT	US\$/MT	US\$/MT
January 2016	565	533	535	493.5
February	640	598	605.5	563
March	686	625	630.5	599
April	722	693.5	703	650
May	706	679	691	615.5
June	683	641	653	605.5
July	651	603	610	592.5
August	736	653	676.5	638
September	756	728.5	730.5	693.5
October	716	669.5	675	684.5
November	751	689.5	699	703
December	788	737.5	738	740
January 2017	809	746	752	749
February	774	729	757	742
March	736	701	706.5	678
April	685	671	679	618
May	727	681.5	693.5	606
June	677	667.5	673.5	597
Jan- Jun (Average price)	734	699	710	665

(Source: MPOB)

#1- Prices FOB North-West Europe Market US\$/MT
Exchange Rate: US\$1 = RM4.28 (July 28, 2017)

